INVESTING SYSTEM

DEMAT ACCOUNT

To start investing in shares directly, one needs to open two kinds of accounts. These are called Demat Account, and Trading Account. Demat account is the account that holds our shares. Let us say, we own 1,000 shares of Reliance Ltd, so these shares will be deposited in the said account. A Demat account is like a bank account where the currency is in shares. In India, it is maintained by CDSL and NSDL.

TRADING ACCOUNT

A trading account is opened with a broker. A trading account is needed to trade i.e. buy/sell any share. When we buy a share, we pay cash from our general bank account to the trading account. The money will be transferred between the trading accounts of the buyer and the seller, following which the shares are deposited in the attached Demat account. Only by using a trading account, we can convert cash to shares and vice versa.

SETTLEMENT (T+2 DAYS)

Settlement period refers to the time between the actual sale of a share and the cash transfer. In India, a T+2 settlement exists. This means when we buy shares, we have to pay cash for the same within 2 days of making the purchase and if we sell, we get a cash payout in 2 working days of making the sale.